Unpacking the Housing Affordability Crisis: Structural Drivers and Policy Pathways in New Zealand

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Contents

Abstract **2**

Introduction **3**

Findings and Analysis **5**
Land, Regulation, and NIMBYism 7
Fragmented Construction Sector and Inefficient Supply 7
Systemic Market Failure 9

Discussion **10**

Recommendations **11**
Reducing Speculative Investment 11
Securing Bank Deposits 12
Promoting Renting as a Viable Option 13
Aligning Supply with Demand 13
Increasing Supply Speed 14

Conclusion **14**

Appendices **15**
Appendix 1. Plan Summary 15
Appendix 2. Examples of Implementations of Similar Policies Worldwide 17

References **18**

Abstract

This paper analyzes the structural causes of New Zealand's housing affordability crisis, which has made homeownership increasingly inaccessible, particularly in Auckland (the world's seventh least affordable city). While demand is partly driven by demographic shifts and cultural preferences for homeownership, the crisis is primarily shaped by speculative investment, distorted fiscal incentives, and binding supply constraints. Historical tax advantages, low interest rates, and restrictive urban planning have inflated prices and diverted capital away from productive sectors. The paper argues that the crisis is not a simple shortage but a systemic market failure. It proposes an integrated policy framework to restore balance: taxing capital gains, introducing deposit insurance to protect savers and limit moral hazard, reforming tenancy laws to make renting viable, relaxing density regulations, and streamlining building approvals. Together, these fiscal, regulatory, and urban policies could reduce volatility, reorient incentives toward social efficiency, and rebuild affordability for future generations.

Introduction

Since 1990, successive housing booms have pushed New Zealand property prices to levels increasingly out of reach for many aspiring first-time buyers. While existing homeowners have benefited from rising equity, newcomers face a market where the cost of ownership absorbs a disproportionate share of household income. In economic terms, this violates the equimarginal principle, which holds that rational agents allocate their limited resources across competing needs to maximize overall utility. When housing consumes nearly all disposable income, individuals can no longer balance spending efficiently across other essential goods and services, making homeownership economically unsustainable for many Kiwis.

A housing market is deemed "unaffordable" when the median house price exceeds three times the median annual household income. None of New Zealand's eight largest cities meets this criterion. Although this trend is national, it is particularly acute in Auckland, where the house-price-to-income multiple is approximately nine, ranking it as the seventh least affordable city in the world, above London and Toronto (Demographia, 2019).

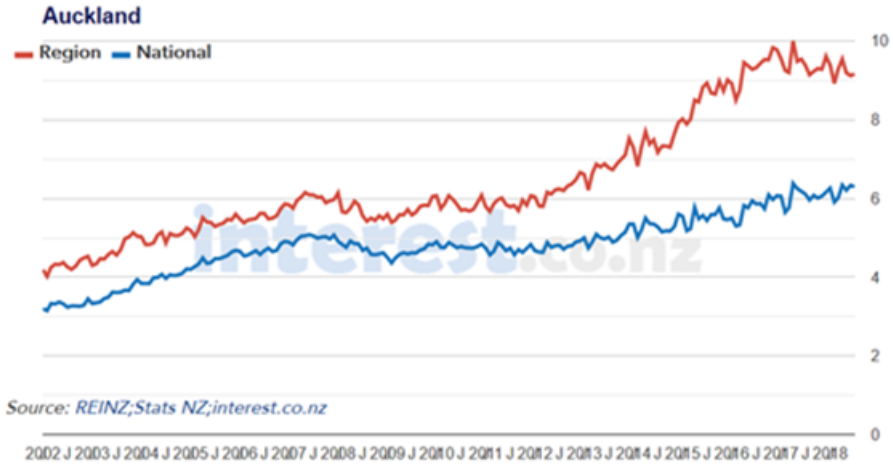


Figure 1: House-price-to-income multiple in Auckland and New Zealand.

As a result, the homeownership rate has fallen to levels unseen since the 1950s, with an increasing share of New Zealanders excluded from the property market.

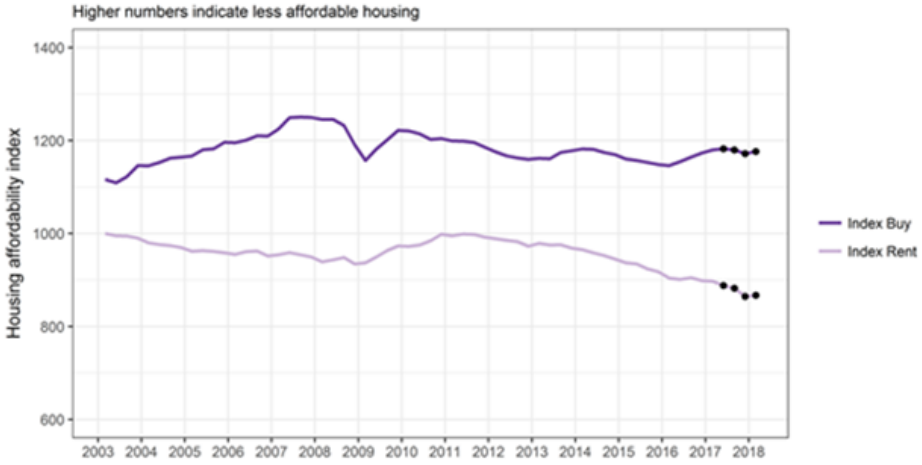


This paper provides a holistic analysis of the current housing crisis. It first examines the economic, structural, and behavioural forces that produced this situation, then proposes policy options to restore affordability and reduce long-term systemic risk.

Findings and Analysis

A century ago, the government intervened to provide affordable first mortgages, giving rise to the "Kiwi Dream". Today, homeownership remains deeply embedded in the national psyche, while renting is widely perceived as a second option for those who "did not make it." Consequently, demand for housing is structurally high, reinforced by demographic change as average household size declines, increasing the number of households.

However, this organic demand does not fully account for the steep price rise. During the 2000s, the housing affordability index skyrocketed for buyers but remained stable for renters. This divergence contradicts the narrative of a simple supply shortage and instead points to a systemic imbalance involving all major macroeconomic actors. Property has increasingly become a preferred investment vehicle for both domestic and foreign buyers, fuelling a speculative bubble, further amplified by technology-enabled globalization.



This behaviour stems from historical events and policy choices. After the 1987 New Zealand Stock Exchange crash, investor confidence in financial markets eroded, prompting many to view property as a safer, more tangible investment. Over time, this preference became self-reinforcing: homeowners grew attached to their properties and became reluctant to sell, even when doing so might not be financially optimal, a tendency explained by the endowment effect, in which individuals overvalue assets they already own. Policy choices intensified this dynamic through tax incentives such as mortgage-interest deductions and the near absence of an enforceable capital gains tax. Simultaneously, a persistently low Official Cash Rate (OCR) has kept borrowing costs down, further fuelling demand and pushing prices even higher.

Originally, these incentives were intended to promote broad-based homeownership. In practice, they have proved perverse: boosting demand, raising prices, and disproportionately benefiting investors and higher-income households over middle-class prospective buyers. They also encouraged excessive leverage, increasing systemic vulnerability. In parallel, banks channelled large shares of credit into residential mortgages rather than productive investment, limiting support for the broader economy (Zablah, 2020).

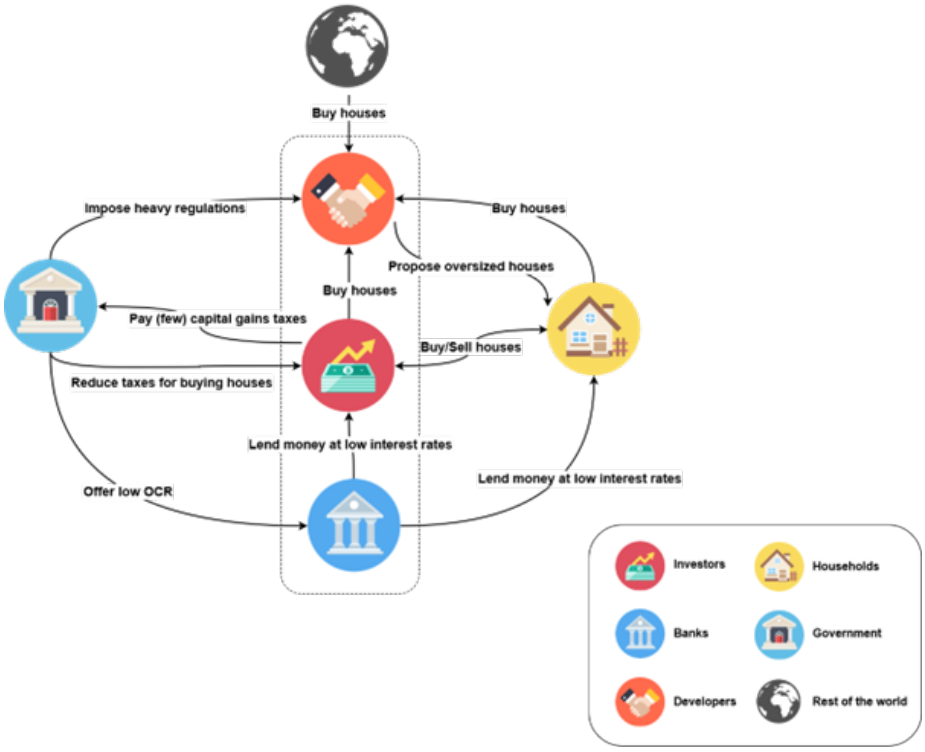
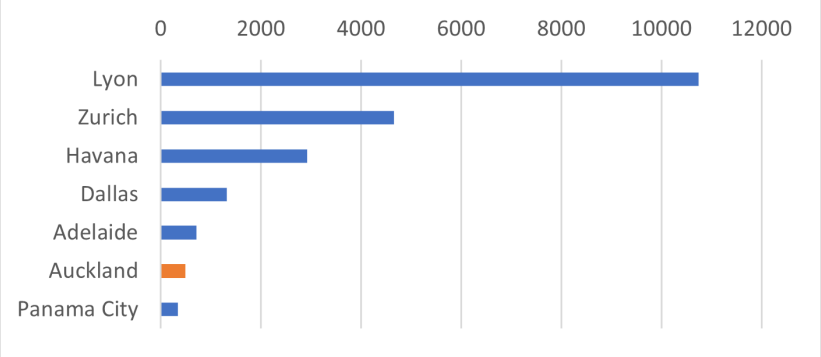


Figure 2: Overview of the New Zealand housing market. Buyers are divided into investors (firms that seek to maximize profit) and households (which seek to maximize utility). Also, firms include banks, investors, and developers.

In a well-functioning market, rising prices act as a signal for firms to increase output — what the economist Adam Smith termed the "invisible hand." Over time, supply should expand toward equilibrium. In New Zealand's housing market, this self-correcting mechanism broke down: firms were unable to move along the supply curve due to deeper structural limitations explored below.

Land, Regulation, and NIMBYism

The most fundamental constraint is the fixed stock of land. While land scarcity is unavoidable, existing restrictive urban planning rules prevent the efficient use of available land, contributing to Auckland's exceptionally low density. Intended to preserve the quality of life in cities, these rules have the perverse effect of restricting access to housing and pushing development to the urban fringe, thereby increasing emissions, commute times, and social stress. In theory, inner-city homeowners could support reforms that relax zoning and density regulations. In practice, they benefit directly from the resulting high property values and quality of life. With little incentive to accept change, many adopt a "*Not In My Backyard*" (NIMBY) stance — opposing developments that threaten property values or alter neighbourhood character. This political resistance reinforces existing inequalities by preventing the housing supply from adjusting where it is most needed.



Fragmented Construction Sector and Inefficient Supply

New Zealand's building industry is highly fragmented, dominated by small firms that operate independently rather than as part of vertically integrated supply chains. This fragmentation limits their ability to scale production efficiently or absorb cost fluctuations. As a result, the price elasticity of housing supply is extremely low: even large price increases do not translate into a proportional rise in new construction. Regulatory barriers further slow project delivery, with lead times often ranging from 2 to 10 years (New Zealand Productivity Commission, 2012). Exacerbating the supply imbalance, some developers also prefer to bank land, restricting supply in anticipation of future price rises.

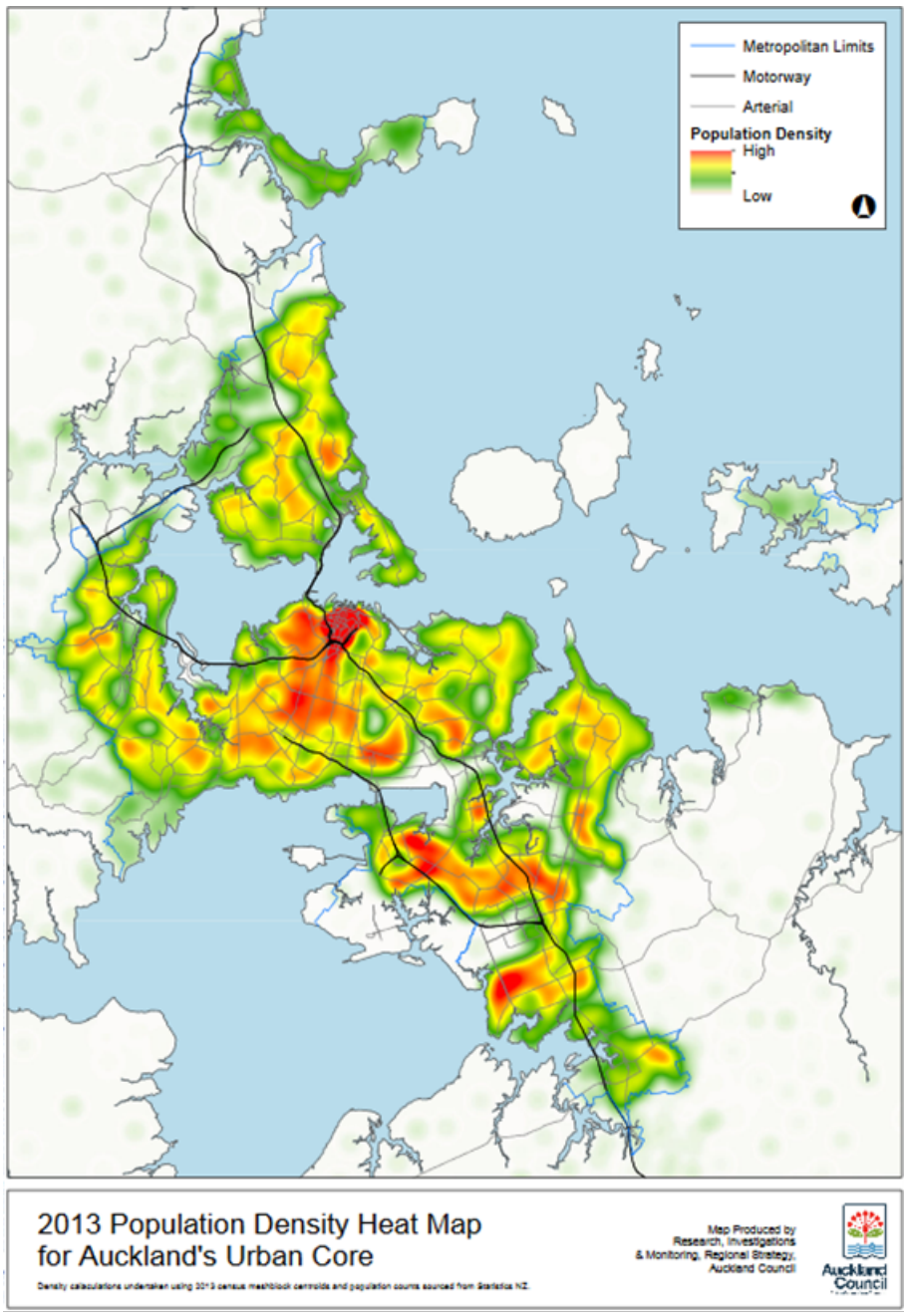
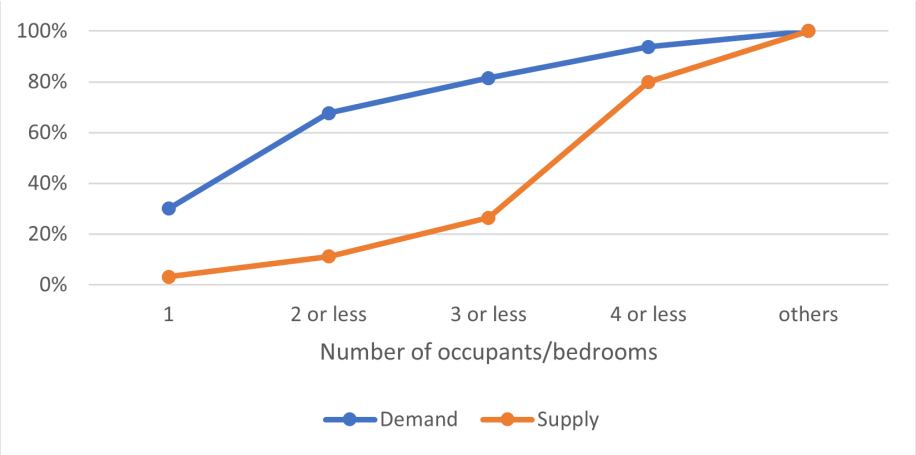


Figure 3: 2013 population density heatmap in Auckland. Source: Auckland Council.

The mismatch between supply and demand is reflected in the composition of housing typologies. In 2013, 70% of households had fewer than two members, while 70% of new dwellings had four or more bedrooms. Developers prefer to build large standalone houses because zoning rules and density constraints make multi-unit construction difficult and less profitable. This dynamic creates distorted competition between small households and families, contributing to price escalation across the market.



Systemic Market Failure

Overall, the market has failed to provide a socially optimal allocation of housing. Individual incentives have produced a collectively irrational outcome: a speculative bubble that renders housing increasingly unaffordable for locals and sets off a ripple effect with wide-ranging social consequences. As prices rise, risks escalate: households take on heavier debt burdens, banks become more exposed to a single asset class, and the eventual correction grows more economically damaging. Targeted government intervention is necessary to support low-income households that are *de facto* excluded from the market, address structural market failures, and prevent the bubble from inflating further.

Discussion

New Zealand's housing affordability crisis reflects the interaction of economic, cultural, and institutional forces that have evolved over several decades. The simultaneous rise of speculative demand, favourable tax treatment, and expanded credit availability has turned housing into a financial asset rather than a social necessity. This dynamic, reinforced by cultural expectations of homeownership as a marker of success, has exacerbated price volatility and widened the social divide between existing homeowners and those excluded from the market.

On the supply side, the system has failed to keep up with rising demand. Land scarcity, restrictive planning regulations, and the fragmented nature of the building industry have limited the responsiveness of housing supply. Even when prices increased, production failed to accelerate due to high entry barriers and long development lead times. As a result, the self-correcting mechanisms expected in a market economy did not operate, allowing imbalances to persist.

The consequences extend beyond housing. Rising property prices have concentrated wealth in the hands of homeowners and investors, fuelling intergenerational inequality and economic fragility. Together, these forces create a self-reinforcing cycle. As households increasingly perceive property as the safest form of investment, capital flows further into housing rather than productive sectors, dampening long-term growth potential. The housing crisis, therefore, represents not only a market failure but a deeper structural imbalance within New Zealand's economic and social model, where speculation, policy distortion, and inequality reinforce one another over time.

Recommendations

In response to the crisis, the government launched its KiwiBuild programme in 2018, aiming to build 100,000 "affordable" homes to match demand. As discussed above, the core issue is not a shortage of dwellings but a combination of investment-friendly incentives and inelastic supply. Moreover, even though KiwiBuild homes are generally in the lower quartile of the market prices in Auckland, they sit closer to the median in other regions, which is far from being affordable (Ninness, 2019).

It would be more relevant to reduce excess demand first and then increase supply toward an equilibrium in which New Zealanders across all socioeconomic backgrounds have access to affordable housing. This section outlines a plan aligned with that strategy. A comprehensive summary appears in Appendix 1, and the design of this plan draws on the analysis above and on observed patterns in international housing policy (see Appendix 2).

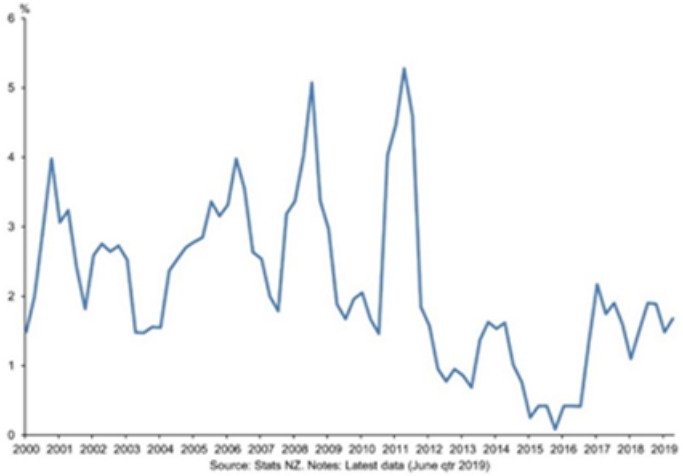
Reducing Speculative Investment

The government's priority should be to reduce incentives for speculators. If these incentives diminish, current investors are likely to sell, and market pressures on demand and supply may begin to rebalance.

An obvious fiscal policy would be to tax capital gains on every house sale, regardless of the owner's initial intent, except for owner-occupiers. However, the government should be cautious with its implementation. A sudden or poorly designed capital gains tax could reduce supply by discouraging owners from selling (Aregger, Brown, & Rossi, 2013). Conversely, a clearly signalled and gradual policy could trigger a positive "fear of missing out," prompting existing investors to sell earlier, while deterring prospective speculators to the benefit of owner-occupiers.

Moreover, an educational campaign could explain that diversified investments are safer and potentially more profitable. From this perspective, purchasing a house is often suboptimal in highly unaffordable cities such as Auckland, where the opportunity cost of diverting funds from alternative investments is particularly high.

Finally, one could argue that raising the OCR would be a relevant solution to limit borrowers' access to finance. However, the Consumer Price Index in New Zealand is equal to 1.7%, which is already below the 2% target (Reserve Bank of New Zealand, 2019). A contractionary monetary policy would further depress inflation and, therefore, wages and employment.



Securing Bank Deposits

Given banks' current dependence on mortgages, a drop in house prices would significantly increase the risk of bank failure, similar to the situation during the 2008 crisis. Under current law, the Reserve Bank can, in theory, close a failing bank and force a recapitalization by freezing all depositors' accounts. Realistically, the government would likely bail out the institution to prevent a systemic financial collapse.

As a result, the New Zealand property market can be considered "too big to fail." Because so much of the financial system depends on mortgage lending, a significant drop in house prices would threaten financial stability and, by extension, the broader economy. This creates a moral hazard: investors and banks continue to take excessive risks in the housing market because they expect government intervention — funded ultimately by taxpayers — if conditions deteriorate.

To break this cycle, the government should establish a deposit insurance scheme, funded by a small premium from banks and depositors, to guarantee savings. Such a system would protect households without insulating banks from the consequences of their own risk-taking. In Europe, for example, deposits are insured up to €100,000 per account.

Promoting Renting as a Viable Option

The contrast between France and New Zealand regarding renting is striking:

	France	New Zealand
Minimum lease duration	Three years	-
Tenant notice	30 to 60 days	21 days (if periodic)
Landlord notice	Must wait for the end of the lease	42 to 90 days (if periodic)

French regulations provide tenants with greater stability, avoiding the anxiety characteristic of New Zealand's system. The quality of French rental properties is generally excellent due to stringent rules and the systematic use of bonds for repairs between tenancies. In New Zealand, rental quality is typically lower because tenants lack incentives to maintain properties, and many landlords treat them primarily as speculative assets.

Once speculative pressures are addressed, New Zealand could adopt policies that narrow the gap between renting and owning. Such measures would encourage landlords to think carefully before purchasing additional properties while keeping renting a viable, low-risk investment. Tenants — including low-income and unemployed individuals — would be able to remain in homes they consider their own for longer, strengthening community ties.

Aligning Supply with Demand

Once excess demand has been reduced, the government should focus on supply. The priority should be to align housing supply with actual needs by improving the allocation of existing resources.

Loosening density regulations should remove the incentive to build oversized houses and allow developers to better match demand. Moreover, coupled with well-designed urban planning (e.g. "walkable neighbourhoods" with green areas), such reforms would also generate positive environmental and social outcomes, such as reduced pollution and improved well-being.

It is also advisable to adopt a preventive Keynesian approach to help smooth the business cycle and promote long-term stability in the housing market. In practice, this approach uses public investment — particularly in infrastructure and construction projects — to offset downturns in private sector activity. Because housing supply often depends on large-scale infrastructure such as transport, utilities, and roads, steady public investment would ensure that supply continues to expand even when demand weakens. During growth periods, this approach would also help prevent overheating by preparing infrastructure ahead of time rather than reacting after imbalances emerge.

To address anticipated resistance from inner-city homeowners, the government could adjust local rates to account for externalities, such as pollution and the well-being of outer-city residents. If the tax burden of maintaining low-density zoning outweighs the perceived benefits, political support for densification may increase.

Increasing Supply Speed

The last priority is to accelerate the building sector's responsiveness to shifts in demand.

First, the government should simplify regulations to reduce permitting timeframes. Creating disincentives for land banking (e.g., taxing vacant land) would also encourage more productive land use. In Pittsburgh, for example, land taxation played a key role in accelerating the city's economic development by stimulating building activity without raising overall tax rates.

Additionally, KiwiBuild and similar ambitious programmes could be used to encourage Kiwi building firms to consolidate and collaborate. Larger, more vertically integrated companies could realize economies of scale — particularly in labour and technical capabilities — reducing marginal costs and enabling faster, more responsive construction. Such firms would have excess capacity, allowing them to ramp up output rapidly in periods of rising demand.

Conclusion

New Zealand's housing crisis arises from an unsustainable mix of speculative demand, policy distortion, and limited supply responsiveness. Addressing it requires coordinated fiscal, regulatory, and cultural reforms to restore affordability and economic balance. Short-term corrections may reduce household wealth, but the long-term gains, in terms of greater equity, resilience, and social well-being, justify decisive action. Sustainable growth depends on treating housing not as a speculative asset but as essential infrastructure for the nation's future prosperity.

Appendices

Appendix 1. Plan Summary

#	Policy	Agent	Expected behaviour	Potential unintended consequence	Risk mitigation plan
1	Taxing capital gains	Investors	Sell and change investment strategy	Lock-in and refuse to sell, continue investing if the tax is not dissuasive	Plan and advertise, perform educational campaigns
2	Setting up 'Deposit Insurance'	Banks, Investors, Households	Reduce speculation and imprudent risk-taking	-	-
3	Reinforcing tenancy regulations	Investors, Households	Reduce speculative purchases, increase demand in rentals, improve rental housing quality	Shortage of rental properties (less attractive for investors)	Reinforce maintenance expectations and retain bond if required
4	Loosening density regulations	Developers	Provide homes that meet New Zealanders' needs	Resistance from inner-city homeowners, pollution and a decrease in overall well-being	Threaten to increase rates, invest in urban planning

#	Policy	Agent	Expected behaviour	Potential unintended consequence	Risk mitigation plan
5	Simplifying permit procedures	Developers	Build houses faster	Natural hazard (e.g. earthquakes, storms), pollution	Perform a Cost-Benefit Analysis
6	Taxing vacant land	Developers	Stop land banking, build houses faster	Inefficiency due to the high cost of building	See #5 and #7
7	Coordinating development programmes	Developers	Team up to create strong construction firms	Monopolistic market (low likelihood)	Favour competition, ask for a minimum number of candidates, assign projects to different firms
Overall		Investors, Developers, Households, Rest of the world	Balance demand and supply	Falling house prices, bank failure	See #2

Appendix 2. Examples of Implementations of Similar Policies Worldwide

Policy	Places
Taxing capital gains	France, Switzerland (Aregger, Brown, & Rossi, 2013), Germany
Setting up 'Deposit Insurance'	Europe
Reinforcing tenancy regulations	France, Germany (Bruce, 2017)
Loosening density regulations	USA (Han & Sun, 2019)
Simplifying permits procedures	Sweden, Japan (Malyshev, 2006)
Taxing vacant land	Brazil, Colombia, Democratic Republic of Congo, Mexico, Philippines, United Kingdom (Haas & Kopanyi, 2017), USA (Seattle, Hawaii, Pittsburgh (Oates & Schwab, 1997))
Development programmes	France (Chomard, 2017)

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